

Thus, it is important that a company gets an Unqualified Opinion from an auditor every financial year. We must start our analysis with the auditor's opinion for each financial year. If the opinion is unqualified, we can move ahead with other sections of the report.

These include sections like:

Key audit matters like the things taken care of and listed down. Also, if the company has acquired any other company, there is a mention in the auditor's report.

Acquiring
New company



Management's responsibility and auditor's responsibility.

Any other matters that need to be disclosed.

The name and company of the Auditor.

It is important to check who is the auditor that audits the company's financials. It should increase our trust on the numbers if the auditor is a reputed firm and not a local practice. For example, in the case of Pidilite, the auditor is Deloitte Haskins & Sells LLP, which is a well-reputed auditor.

Reading different kinds of Auditor's reports for different companies will give a clear understanding of Independent Auditor's reports.



It is important that the auditor is neutral and not related to the management.

For example, read auditor's reports of a few companies which have reported frauds in the past. You will learn a lot about how red flags could be spotted in auditor's reports and other financial statements of these companies.



In the next unit, we will learn about accounting policies.